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tional economies. This is important going forward, as India is a resource deficit economy and there is a premium on raw materials.

As such, what is needed is a robust and institutionalised system of resource federalism as an intrinsic part of fiscal federalism, which is now restricted to “transactional revenue” sharing.

Further, as the sub-national economies develop, there is a strong case for looking at a monetary federalism. For one, in an open economy, monetary policy is the main tool of policy intervention and it is exclusively the domain of the Centre. Also, the case for a monetary federalism rests on the fact that there is a differential impact of monetary policy on states depending on the level

of their economic development, the financial deepening of the state, the extent of industrialisation, distribution of large and small corporates. Based on these factors, there is a prima facie case on economic grounds to give the Reserve Bank of India the character of a Federal Reserve Bank.

The final aspect of redesigning the fiscal federal set-up should be to give states a role in the regulatory framework of the country. At present, most of the regulatory powers are vested with or subservient to the Union government. They have replaced direct ministerial and bureaucratic control with indirect regulatory regimes. The Indian regulatory state is nothing but an extended arm of the central government. In this context, it is important to federalise the regulatory set-up if only to break the new congruence of powers—executive, legislative and judicial—within the regulatory system.

To conclude, the extant federal framework that functions more as a decentralised model of governance than a fiscal federal model, has rid itself of its colonial mooring and closed economic rigidities. It must be reformulated in the context of an open regulated economy through the widening of its ambit by dividing the regulatory powers between the two tiers of government, sharing not just the tax revenues but the revenues accruing from usage of natural resources and include states in the formulation of monetary policy.

This could be the beginning of a new sub-national fiscal and financial architecture. A new federal compact that will unshackle the state economies, provide diverse sectoral sources that will engender broad-based national macroeconomic growth in an inclusive and equitable manner. **BT**

Views are personal